# UNIT 2

# ACCOUNTS OF NOT–FOR–PROFIT ORGANISATION

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## Points to recall

The following points are to be recalled before learning the accounts of not–for–profit organisation:

- Capital expenditure
- Revenue expenditure
- Deferred revenue expenditure
- Capital receipt
- Revenue receipt
- Final accounts of sole proprietors

## Learning objectives

To enable the students to

- Understand the features of not–for–profit organisation
- Understand the accounting treatment of items peculiar to not–for–profit organisation
- Prepare final accounts of not–for–profit organisation

## Key terms to know

- Not–for–profit organisation
- Receipts and payments account
- Income and expenditure account

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